Notice N25-014 goes to a cost and market impact review

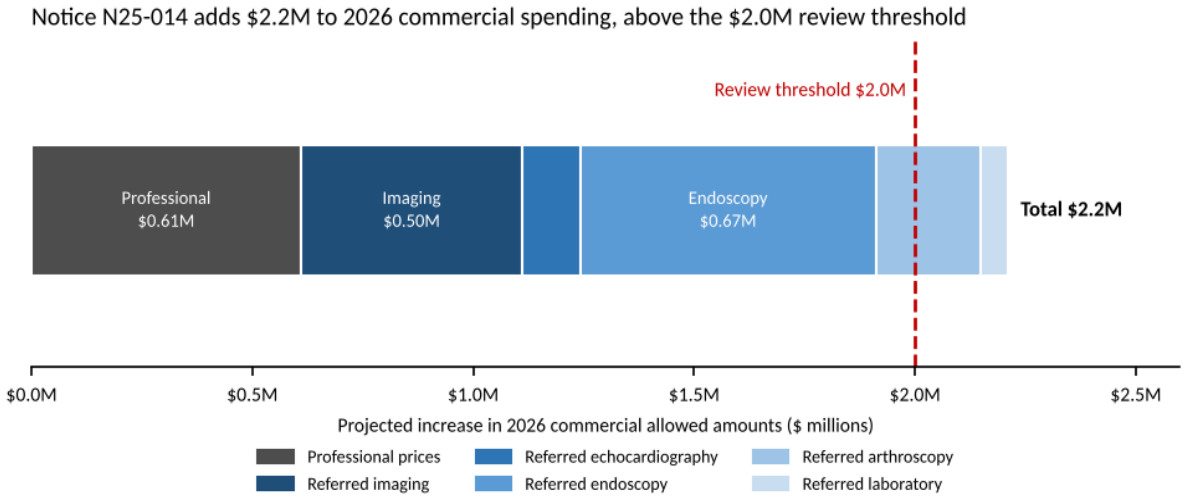
Preliminary review	Notice N25-014
To	Health Care Division, Office of the Attorney General
From	Director of Market Oversight
Parties	Ledgestone Health (acquiring); Brightwater Medical Group, S.C. (target)
Notice complete	8 October 2025; review closes 7 November 2025
Date	24 October 2025

Determination: the office proceeds to a cost and market impact review of notice N25-014.

Ledgestone Health's purchase of Brightwater Medical Group will raise commercial health care spending by **$2.2 million** in 2026, its first full year, against the $2.0 million threshold in rule OHCCR 4.06. The increase has two parts: Brightwater's professional services move to Ledgestone Medical Group's fee schedules, and the outpatient services Brightwater's physicians order move into Ledgestone's hospital outpatient departments.

Projected 2026 increase	Amount
Professional prices	$610,000
Referred imaging	$500,000
Referred echocardiography	$130,000
Referred endoscopy	$670,000
Referred arthroscopy	$240,000
Referred laboratory	$60,000
Total	**$2.2 million**

Source: APCD extract OHCCR-MO-2025-031 and notice N25-014 Exhibit C, under OHCCR 4.03 to 4.05. Parts are rounded to the nearest $10,000 and the total to $0.1 million; the parts are summed before rounding.



Basis

Baseline: Brightwater's 2024 commercial services paid by 30 June 2025, being the professional services billed under its taxpayer number and the outpatient facility services its eighteen physicians referred (OHCCR 4.03). Professional services are repriced at Ledgestone Medical Group's schedules in Exhibit C. A referred service Ledgestone offers that went elsewhere in 2024 moves to Ledgestone in the expected share and is repriced at Ledgestone's filed rate.[1]

Expected share (OHCCR 4.05): the practices Ledgestone and Wolf River acquired in 2021 to 2023 show the same result in every practice. Where the patient's plan places the acquiring system in its first tier, or has no tiers, 86 per cent of the referrals that used to go elsewhere moved to the acquirer; where the plan places it in the second tier, none moved. Norbridge's Tiered EPO patients at Wolf River's practices stayed while the plan kept Wolf River in its second tier and moved once it placed Wolf River first in plan year 2024. Shares pooled, by carrier or by product miss that year by eight points or more. Bayfield's Value Tier PPO, the commonest plan among Brightwater's patients, kept Ledgestone in its second tier through 2024 and places it in the first tier from plan year 2025, so in 2026 those patients' referrals move as well. Only Cedarbrook Choice and Norbridge Tiered EPO patients, whose plans keep Ledgestone in the second tier, stay where they are.

Exhibit 1. Commercial patients living in Manitowoc and Kewaunee counties seen in person, 2024

Specialty	Ledgestone Health	Kinnickinnic Health
Primary care	2,432	5,967
Gastroenterology	57	219
Orthopaedics	133	422
Cardiology	117	306

Independent practice	Patients seen
Algoma Family Health	1,716
Kewaunee Area Clinic	1,751
Manitowoc Digestive Care	539
Rapids Road Family Medicine	3,140
Shoreline Orthopaedic Associates	1,597

Appendix A2 and A4. People residing in the two counties on the date of a visit who had an in-person office visit there (99202 to 99215) with a physician of the group, each person once. A person the database holds under a second member number for a second plan is matched to the member by the visit that plan paid on what the first left the member to pay, with one birth year, sex and ZIP. Specialty from each physician's own taxonomy in the carriers' provider files.

Exhibit 2. Commercial patients the independent practices referred for outpatient services, 2024

Independent practice	Imaging	Endoscopy	Arthroscopy
Algoma Family Health	171		
Kewaunee Area Clinic	164		
Manitowoc Digestive Care	59	865	
Rapids Road Family Medicine	266		
Shoreline Orthopaedic Associates	742		234

Appendix A1 and A3. People residing in the two counties on the date of service whose service in the line was referred by a physician of the practice, each person once. A member the carrier holds under two member numbers is matched where a facility billed one service under both, with one birth year, sex and ZIP.

[1] Bayfield pays Ledgestone a percent of the CY2025 Medicare amount by service category under its 2025 agreement (Exhibit C, sheet Bayfield terms); Ledgestone's 2024 Bayfield claims were paid under the earlier agreement and are not used to price the projection.

Data: Wisconsin APCD extract OHCCR-MO-2025-031 (run 15 September 2025); provider ownership register; NPI reassignment history; carrier tier placement filings 2020 to 2026; notice N25-014 and Exhibit C.